

Q. Difference between adjusted & Unadjusted TB?

Unadjusted TB:

- ⇒ is a list of all the general ledger accounts and their balances before any adjusting entries are made.
- ⇒ Prepared before adjusting entries.
- ⇒ May not accurately reflect the Company's financial position due to
- ⇒ Unrecorded transactions or accrued expenses/revenues.
- ⇒ Primarily used to check for mathematical errors in the general ledger & to identify the accounts that need to be adjusted.

Adjusted TB:

- ⇒ An adjusted TB is a list of all the general ledger accounts & their balances after adjusting entries have been made.
- ⇒ Provides a more accurate picture of the Company's financial position.

- ⇒ Prepared after adjusting entries.
- ⇒ Used to prepare the financial statements (income statements, balance sheet, & cash flow statements).